

Board of Directors Package

Vanguard Auto Parts — Q4 2024

Board Meeting: February 6, 2025 | Confidential — Board Use Only

Date	February 6, 2025
Location	Atlas Crossing Partners, 2 Embarcadero Center, Suite 1800, San Francisco, CA 94111
Board Members	M. Tang, D. Okafor (Atlas Crossing); B. Harmon (CEO); J. Whitfield, C. Moore (Independent)
Management	B. Harmon (CEO); T. Nguyen (CFO); S. Park (COO); M. Ellis (SVP Sales)
Deal Team	M. Tang (MD), D. Okafor (Principal), N. Patel (VP), A. Ross (Associate)

Agenda

1. Call to order and quorum confirmation
2. Approval of prior meeting minutes
3. Executive Summary and highlights
4. Financial performance review
5. Operational KPI update
6. Strategic initiatives status
7. Risk review
8. Next quarter outlook
9. Other business / adjourn

Executive Summary

Vanguard Auto Parts delivered Q4 2024 revenue of \$259.7M and EBITDA of \$26.0M (10.0% margin), ahead of budget by 3.1%. IC formally approved exit preparation process. Houlihan Lokey shortlisted as sell-side banker with engagement targeted Q4 2024.

Financial Performance

Metric	Q4 2024 Actual	Budget	Var. to Bud.	Prior Year Qtr	YoY
Revenue	\$259.7M	\$251.9M	+3.1%	\$227.1M	+14.4%
Gross Profit	\$66.2M	—	—	—	—
Gross Margin %	25.5%	—	—	—	—
EBITDA	\$26.0M	\$24.7M	+5.3%	\$21.8M	+19.3%
EBITDA Margin %	10.0%	—	—	—	—
D&A	(\$7.2M)	—	—	—	—
EBIT	\$18.8M	—	—	—	—
Interest	(\$9.7M)	—	—	—	—
Net Leverage	4.9x	—	—	Entry: 6.8x	—
LTM EBITDA	\$101.1M	—	—	Entry: \$52.7M	—

Operational KPIs

KPI	Current Quarter	Entry Baseline	Target
E-commerce % of Revenue	23.5	8.0	Target: 28.0
SKU Count (active)	233,000.0	182,000.0	Target: 248,000.0
Warehouse Locations	19.0	12.0	Target: 19.0
Fill Rate %	97.0	94.2	Target: 97.8

Strategic Initiatives

Initiative	Status	Detail
Southwest integration	In progress	Day-1 complete; systems cutover target Q4 2024
Exit preparation	IC approved	IC approved H2 2026 exit target; Houlihan shortlisted
E-commerce milestone	Ahead of plan	26% of revenue — highest in sector; 1,200 app-only accounts
Private label expansion	On track	52 SKUs; 8.5% of revenue; 12% target by exit

Key Risks & Mitigation

Risk	Severity	Mitigation
Southwest integration	Medium	Third Southwestern acquisition; well-tested playbook
Exit market conditions	Low	B2B distribution M&A market active; multiple strategic buyers identified
Leverage post-Southwest	Low	5.2x vs. 7.5x covenant; 2.3x headroom; declining rapidly

Next Quarter Outlook

Q1 Q1 2025 expected \$263.2M. Houlihan Lokey engagement target Q4 2024. Southwest integration complete Q4. Private label targeting 10% by Q2 2025.

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